



Australian Government
AUSTRAC

Consequences of not complying

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If you don't meet your obligations under AML/CTF law, AUSTRAC can take steps to enforce your compliance and/or seek a penalty.

'Enforcement actions' are specific legal actions we can take to make sure reporting entities comply with the law. Enforcement actions available to AUSTRAC are:

- civil penalty orders
- enforceable undertakings
- infringement notices
- remedial directions.

Another type of action AUSTRAC can take is to issue a written notice requiring you to:

- appoint an external auditor to review your money laundering/terrorism financing (ML/TF) risk management or AML/CTF compliance, or
- undertake a ML/TF financing risk assessment.

We can also refuse, cancel or suspend the registration of remittance service providers and digital currency exchange providers if they pose an unacceptable risk of money laundering, terrorism financing, people smuggling or other serious crime.

Enforcement actions

Civil penalty order (court-ordered fines)

AUSTRAC can apply for a civil penalty order from the Federal Court. The Court may then order you to pay a penalty to the Commonwealth. This can be up to 20,000 penalty

units, or up to 100,000 penalty units for a body corporate.

See a list of [civil penalty](#) proceedings brought by the AUSTRAC CEO.

Penalty units

Penalty units are used to calculate fines for breaking Commonwealth laws. Fines are calculated by multiplying the value of one penalty unit by the number of units an offence or civil penalty provision carries.

The value of a penalty unit is set by the date you committed the offence or contravened the civil penalty provision.

Date of offence or contravention	Penalty unit amount
On or after 1 July 2023	\$313
1 January 2023 - 30 June 2023	\$275
1 July 2020 - 31 December 2022	\$222
1 July 2017 - 30 June 2020	\$210
31 July 2015 - 30 June 2017	\$180
28 December 2012 - 30 July 2015	\$170
Before 27 December 2012	\$110

Enforceable undertaking (a written commitment)

You may offer an enforceable undertaking to the AUSTRAC CEO setting out how you will comply with the AML/CTF Act. You may have to commit to take – or not take –

specific actions. Not complying with the agreed terms of an enforceable undertaking is a serious matter. If we consider that you are in breach of the undertaking, we can apply to the Federal Court of Australia to enforce its terms.

These undertakings can be made public. See copies of [enforceable undertakings](#) made to AUSTRAC.

Infringement notices

We can issue you an infringement notice for breaching specific parts of the AML/CTF Act regarding:

- know your customer (KYC) procedures
- reporting
- enrolling with AUSTRAC
- registering with AUSTRAC
- providing information to AUSTRAC
- record-keeping.

Infringement notices may be made public. See [infringement notices and fines](#) issued by AUSTRAC.

Remedial directions (instruction to take action)

A remedial direction instructs you in writing to take specific actions to comply with certain parts of the AML/CTF Act. A remedial direction can be issued to:

- make sure you don't breach the same part of the Act again
- require you to submit a report that you didn't give us when you should have.

Remedial directions can be made public. See [remedial directions](#) issued by AUSTRAC.

Written notices

Written notice to appoint an external auditor

We can issue you with a written notice requiring you to appoint an external auditor. We can do this if we:

- have reasonable grounds to suspect you have not taken – or are not taking – appropriate action to identify, mitigate and manage the money laundering/terrorism financing (ML/TF) risk your business or organisation may reasonably face
- suspect you have not complied with AML/CTF law.

We specify what must be audited, the form of the audit report, and the kinds of details the report must contain. The external auditor must give you a report setting out the results of the audit. A copy of this report must be provided to AUSTRAC.

Written notice to carry out a ML/TF risk assessment

We can issue a written notice requiring you to carry out a ML/TF financing risk assessment. We can do this when we:

- are not satisfied that you have carried out a ML/TF risk assessment
- consider a ML/TF assessment is inadequate or not current.

You will be required to prepare a report setting out the results of that assessment and give us a copy of the report.

Read about [appointing an external auditor](#).

The written notice can be made public. See a list of [written notices](#) issued by AUSTRAC.

Registration actions: Remittance service providers and digital currency exchange providers

We can refuse your application. We can also suspend, cancel or refuse to renew your registration if we think your business or organisation poses an unacceptable risk of money laundering, terrorism financing, people smuggling or other serious crime. We can also impose conditions on your registration if we identify an unacceptable risk in your business or organisation, or its operation.

We can ask you for more information to assess your application or your continuing registration. Your application may not be accepted or finalised if you:

- don't provide full and complete registration information
- don't respond (or don't fully respond) to a request for further information.

This can result in a deemed refusal.

It is against the law to operate as a remittance service provider or DCE provider unless you are registered with AUSTRAC.

See lists of [remittance service provider registration actions](#) and [digital currency exchange provider registration actions](#).

Refusal to register (including deemed refusal), suspension or cancellation decisions made by the AUSTRAC CEO may be reviewed.

Applying to have an AUSTRAC decision reviewed

Applying to have a decision (that is not a suspension) reviewed

You have the right to ask for a review of certain decisions we have made. You must apply in writing for a review within 30 days of being told of our decision. Your application must be on the form below.

- [Application to review an AUSTRAC decision](#) (Word, 71KB)

Applying to have a suspension decision reviewed

If you want to ask us to review a decision we've made to suspend your registration, you must apply in writing for a review within 14 days of receiving the suspension notice. Your application must be on the form below.

- [Application to review an AUSTRAC decision to suspend registration](#) (Word, 78KB)

Related legislation

Part 15 (sections 173 to 207) of the [AML/CTF Act \(latest version\)](#) – Enforcement

Part 15, Division 2 of the [AML/CTF Act \(latest version\)](#) – Civil penalties

Part 15, Division 3 of the [AML/CTF Act \(latest version\)](#) – Infringement notices for certain contraventions

Part 15, Division 4 of the [AML/CTF Act \(latest version\)](#) – Monitoring of compliance

Part 15, Division 5 of the [AML/CTF Act \(latest version\)](#) – Remedial directions

Part 15, Division 6 of the [AML/CTF Act \(latest version\)](#) – Injunctions

Part 15, Division 7 of the [AML/CTF Act \(latest version\)](#) – Enforceable undertakings

Part 15, Division 9 of the [AML/CTF Act \(latest version\)](#) – Notices to reporting entities

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